view, it would "more than doubl[e] the total paper-work compliance costs to public corporations."[3190] Two commenters stated that the Commission had underestimated the compliance burden and costs of the proposed rules.[3191] One of the commenters stated that "besides failing to monetize the internal compliance burden hours, the PRA Table ignores: 1. litigation costs; 2. cost not easily and directly allocable to filling out the forms listed in [the PRA Table]; 3. costs imposed on non-issuers; and 4. [t]he cost to investors, issuers and workers caused by adverse economic effects of the rule."[3192]

While we acknowledge the commenters' concerns about costs of the proposal, for the reasons discussed in section II and elsewhere throughout this release, we believe the information required by the final rules is necessary and appropriate in the public interest and for the protection of investors. Further, a discussion of the economic effects of the final rules, including consideration of comments that expressed concern about the expected costs associated with the proposed rules, can be found in section IV above. With regard to the calculation of paperwork burdens, we note that both the Proposing Release's PRA analysis and our PRA analysis of the final rules estimate the incremental burden of each new or revised disclosure requirement individually and fully comport with the requirements of the PRA. We further note that the costs that one commenter stated we had not included are not costs that are required to be considered or typically included in a PRA analysis.[3193] Further, our estimates reflect the modifications to the proposed rules that we are adopting in response to commenter concerns, including streamlining

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3190 *See* letter from IER.

3191 *See* letters from D. Burton, Heritage Fdn.; and G. Lau.

3192 D. Burton, Heritage Fdn.

3193 *See id.*

some of the proposed rule's elements to address concerns regarding the level of detail required and the anticipated costs of compliance.

D. Sources of Cost Estimates

We based the paperwork burden of the proposed rules in part on the BEIS impact assessment for the UK climate disclosure rules as well as the input from commenters to a request for public input.[3194] Our estimates of the paperwork burden associated with the final rules are based on the direct cost estimates discussed in the Economic Analysis.[3195] As discussed above in more detail in section IV.C.3.b, those direct cost estimates are based primarily on two cost estimates for similar UK climate disclosure rules (i.e., the 2021 BEIS impact assessment and the 2021 FCA cost-benefit analysis)[3196] and on cost estimates provided by several commenters.[3197] While we believe that the direct cost estimates provide a reasonable means of determining the estimated collection of information burden associated with the final rules, they likely represent an upper bound of the paperwork burden of the final rules as they reflect a conservative approach (i.e., erring on the side of overstating costs rather than understating them) to estimate approximate compliance costs for the final rules.

E. Incremental and Aggregate Burden and Cost Estimates of the Final Rules

Below we estimate the incremental and aggregate increase in paperwork burden resulting from the final rules. These estimates represent an average multi-year burden for all issuers, both large and small. While we typically calculate a three-year average for PRA purposes, because

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3194 *See* Proposing Release, section V.B.

3195 *See supra* section IV.C.3.

3196 *See* FCA, *Enhancing climate-related disclosures by standard listed companies and seeking views on ESG topics in capital markets,* CP21-18 (June 2021), available at https://www.fca.org.uk/publication/consultation/cp21-18.pdf; and BEIS Final Stage Impact Assessment.

3197 *See supra* section IV.C.3.b.

one of the amendment's requirements will not be phased in until the ninth year of initially providing the disclosures required by the amendments,[3198] we have estimated a nine-year average PRA burden. In deriving our estimates, we recognize that the burdens will likely vary among individual registrants based on a number of factors, including the nature of their business, the size and complexity of their operations, and whether they are subject to similar climate-related disclosure requirements in other jurisdictions or already preparing similar disclosures on a voluntary basis. For purposes of the PRA, the burden is to be allocated between internal burden hours and outside professional costs.

PRA Table 2 below sets forth the percentage estimates we typically use for the burden allocation for each affected collection of information.

PRA Table 2. Standard Estimated Burden Allocation for Specified Collections of Information

Collection of Information	Internal	Outside Professionals
Forms S-1, F-1, S-4, F-4, S-11, 10, and 20-F	25%	75%
Form 10-K	75%	25%

1. Calculation of the Paperwork Burden Estimates of the Final Rules

When estimating the paperwork burden of the proposed rules, we considered the effects of three sets of climate-related information that would be required to be filed on the Commission's forms under those rules: climate-related disclosures regarding governance, strategy, and risk management; GHG emissions metrics and targets; and financial statement metrics. When estimating the paperwork burden of the final rules, we have modified the sets of

[3198] *See supra* sections II.I and O (regarding the requirement for LAFs to obtain a reasonable assurance attestation report in fiscal 2033 when the initial compliance date for most other disclosures required by LAFs is in fiscal year 2026).

information considered to reflect changes made from the proposed rules. First, we have separated disclosures related to targets from disclosures related to metrics. Second, we have replaced "financial statement metrics" with "financial statement disclosures." This modification reflects the fact that the final rules do not use the term "metrics" to describe the amendments to Regulation S-X because it is more accurate to characterize the disclosures as financial statement effects.[3199]

The estimated burden hours and costs of the final rules are generally lower than the estimated burden hours and costs of the proposed rules. This is due to changes from the proposed rules that we are adopting in the final rules. For example, the final rules include materiality qualifiers and other revisions in the disclosure categories regarding governance, risk management, and strategy, including transition plans, scenario analysis, targets and goals, and GHG emissions metrics. In addition, we have revised the average salary rate from that used for the proposed PRA estimates to convert some of commenters' cost estimates into burden hours, consistent with existing OMB guidance.[3200]

[3199] *See supra* note 1705.

[3200] The PRA estimates for the proposed rules used an hourly rate that was based on an average annual salary of a climate specialist, according to Glassdoor, but which did not reflect additional labor costs. *See* Proposing Release, section V.B. We have based the PRA estimates for the Regulation S-K subpart 1500 disclosure requirements on average salary rates according to SIFMA Management and Professional Salaries Data, which the staff has updated to account for inflation through September 2023 and which includes overall costs and overhead associated with the reported professional and management positions. The SIFMA data provides a more realistic cost basis for determining the PRA burdens associated with the final rules because of this additional information, and is consistent with OMB guidance that, when determining burden hours, "all wages need to be fully-loaded, meaning they reflect the full cost of labor." OMB, *A Guide to the Paperwork Reduction Act*, available at https://pra.digital.gov/burden/. In addition, unlike the PRA estimates for the proposed rules, which were based solely on the average annual salary of a climate specialist, we have based the PRA burden hour estimates of the subpart 1500 rules on the median salary rates of in-house legal counsel and systems analyst/database administrators, whom we believe in conjunction with each other will most likely perform the work underlying the disclosures of governance,

The following PRA Table 3 shows the estimated number of total burden hours resulting from the final rules based on the initial and ongoing cost estimates for the above-described sets of information as discussed in section IV above. To derive the estimated total number of burden hours, we first applied the appropriate percentage estimate from PRA Table 2 to allocate the portion of the cost estimate for each set of information pertaining to the internal burden and the portion pertaining to external professional costs. We then converted the costs to internal burden hours using a conversion rate of $441/hr. for governance, strategy, and risk management, scenario analysis, Scopes 1 and 2 emissions, targets and goals, and financial statement disclosures.[3201] We similarly converted external professional costs into burden hours using a conversion rate of $600/hr. We then added internal and external burden hours to obtain the total number of estimated burden hours for each set of information. All numbers have been rounded to the nearest whole number.

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strategy, risk management, targets and goals, and Scope 1 and 2 GHG emissions metrics. We therefore have taken the average of the median salary rates for SIFMA-listed attorney positions (Attorney and Assistant General Counsel, which average $525/hr.) and SIFMA-listed system analyst/database administrator positions (Systems Analyst, Sr. Systems Analyst, and Sr. Database Administrator, which average $356/hr.) calculated as follows: $525/hr. + $356/hr. = $881/hr. $881/2 = $441/hr.

[3201] *Id.*

PRA Table 3. Estimated Total Burden Hour Effects of the Final Rules

	Estimated Initial Burden					Estimated Ongoing Burden				
Disclosure Item	**Total Initial Costs (from Direct Cost Estimates in Economic Analysis)**	**Internal Burden Hour Effect**	**Total Professional Costs**	**External Burden Hour Effect**	**Total Initial Burden Hour Effect**	**Total Ongoing Costs (from Direct Cost Estimates in Economic Analysis)**	**Internal Burden Hour Effect**	**Total Professional Costs**	**External Burden Hour Effect**	**Total Ongoing Burden Hour Effect**
	(A)	**(B)[1]**	**(C)[2]**	**(D)[3]**	**(E) = (B) + (D)**	**(F)**	**(G)[4]**	**(H)[5]**	**(I)[6]**	**(J) = (G) + (I)**
Collection of Information: Forms S-1, F-1, S-4, F-4, S-11, 10, and 20-F										
Governance, strategy, risk management	$327,000	185 hrs.	$245,250	409 hrs.	594 hrs.	$183,000	104 hrs.	$137,250	229 hrs.	332 hrs.
Scenario analysis	$12,000	7 hrs.	$9,000	15 hrs.	22 hrs.	$6,000	3 hrs.	$4,500	8 hrs.	11 hrs.
Targets	$10,000	6 hrs.	$7,500	13 hrs.	18 hrs.	$5,000	3 hrs.	$3,750	6 hrs.	9 hrs.
Scope 1 and 2 emissions	$151,000	86 hrs.	$113,250	189 hrs.	274 hrs.	$67,000	38 hrs.	$50,250	84 hrs.	122 hrs.
Financial statement disclosures	$500,000	283 hrs.	$375,000	625 hrs.	908 hrs.	$375,000	213 hrs.	$281,250	469 hrs.	681 hrs.
Collection of Information: Form 10-K										
Governance, strategy, risk management	$327,000	556 hrs.	$81,750	136 hrs.	692 hrs.	$183,000	311 hrs.	$45,750	76 hrs.	387 hrs.
Scenario analysis	$12,000	20 hrs.	$3,000	5 hrs.	25 hrs.	$6,000	10 hrs.	$1,500	3 hrs.	13 hrs.
Targets	$10,000	17 hrs.	$2,500	4 hrs.	21 hrs.	$5,000	9 hrs.	$1,250	2 hrs.	11 hrs.
Scope 1 and 2 emissions	$151,000	257 hrs.	$37,750	63 hrs.	320 hrs.	$67,000	114 hrs.	$16,750	28 hrs.	142 hrs.
Financial statement disclosures	$500,000	850 hrs.	$125,000	208 hrs.	1,059 hrs.	$375,000	638 hrs.	$93,750	156 hrs.	794 hrs.

Notes:
[1] Column B values for this PRA Table 3 are calculated as follows: ((Column A value) x (Relevant percentage for Internal from PRA Table 2)) / ($441/hr.).
[2] Column C values for this PRA Table 3 are calculated as follows: (Column A value) x (Relevant percentage for Outside Professionals from PRA Table 2).
[3] Column D values for this PRA Table 3 are calculated as follows: (Column C value) / ($600/hr.).
[4] Column G values for this PRA Table 3 are calculated as follows: ((Column F value) x (Relevant percentage for Internal from PRA Table 2)) / ($441/hr.).
[5] Column H values for this PRA Table 3 are calculated as follows: (Column F value) x (Relevant percentage for Outside Professionals from PRA Table 2).
[6] Column I values for this PRA Table 3 are calculated as follows: (Column H value) / ($600/hr.).

The next three tables summarize the paperwork burden effects for three groups of registrants: (1) LAFs; (2) AFs that are not SRCs or EGCs ("non-exempt AFs") and (3) SRCs, EGCs, and NAFs. The first two tables summarize, respectively, the estimated internal burden hour (PRA Table 4A) and external professional cost effects (PRA Table 4B) of the final rules. Both tables show the phase in for the Scopes 1 and 2 emissions disclosure requirements. Both LAFs and non-exempt AFs are subject to the requirement to disclose their Scopes 1 and 2 emissions if material. LAFs must comply with the GHG emissions disclosure requirement beginning with their second fiscal year of compliance with the final rules, while non-exempt AFs must comply beginning with their third fiscal year of compliance.[3202]

The tables span the first nine years of compliance in order to cover the first year of the paperwork burden associated with the requirement to obtain a reasonable assurance attestation report, which LAFs must comply with in their ninth year of compliance. For comparability purposes, we have also estimated the paperwork burden effects for non-exempt AFs and SRCs, EGCs, and NAFs over a nine-year span, and have taken a nine-year average for each of the three groups of registrants.[3203]

[3202] The final rules provide a phase in for another set of information—the material expenditures disclosure requirement, which will be provided pursuant to either Item 1502, as part of a registrant's strategy disclosure, or Item 1504 of Regulation S-K, as part of a registrant's targets and goals disclosure. All three groups of registrants must comply with the material expenditures disclosure requirement in the fiscal year immediately following the fiscal year of their initial compliance date for the final rules based on their filer status. As explained in section IV.C.3, we have assumed that costs for the material expenditures disclosure have been included in the cost estimates considered for strategy or targets and goals disclosures. *See supra* note 3060 and accompanying text. Because the material expenditures disclosure will comprise only part of a registrant's strategy or targets and goals disclosure and because most of the disclosure requirements pursuant to Item 1502 and Item 1504 are not subject to a phase in, the tables below do not account for the material expenditures phase in.

[3203] In each table, all numbers have been rounded to the nearest whole number.

After a three-year phased in compliance period of reporting their GHG emissions, both LAFs and non-exempt AFs will be required to obtain an attestation report to verify their GHG emissions disclosure. While LAFs will initially be required to obtain an attestation report at the limited assurance level, after a four-year transition period, they will be required to obtain an attestation report at the reasonable assurance level. We estimate that a reasonable assurance attestation report will be more costly than a limited assurance report. PRA Table 4C summarizes the paperwork burden effects estimated to result from the attestation report requirement for these two groups of registrants over a nine-year span.[3204]

[3204] *See supra* section IV.C.3.b.iii for further discussion of these attestation report estimates.

PRA Table 4A. Estimated Internal Burden Effects of the Final Rules Over the First Nine Years of Compliance

	All Registrants	LAFs			Non-Exempt AFs				SRCs, EGCs, and NAFs	
Disclosure Item	**Year 1**	**Year 2**	**Years 3-9**	**9-Year Average[1]**	**Year 2**	**Year 3**	**Years 4-9**	**9-Year Average[2]**	**Years 2-9**	**9-Year Average[3]**
Collection of Information: Forms S-1, F-1, S-4, F-4, S-11, 10, and 20-F										
Governance, strategy, risk management	185 hrs.	104 hrs.	104 hrs.	113 hrs.	104 hrs.	104 hrs.	104 hrs.	113 hrs.	104 hrs.	113 hrs.
Scenario analysis	7 hrs.	3 hrs.	3 hrs.	4 hrs.	3 hrs.	3 hrs.	3 hrs.	4 hrs.	3 hrs.	4 hrs.
Targets	6 hrs.	3 hrs.	3 hrs.	3 hrs.	3 hrs.	3 hrs.	3 hrs.	3 hrs.	3 hrs.	3 hrs.
Scope 1 and 2 emissions	0 hrs.	86 hrs.	38 hrs.	39 hrs.	0 hrs.	86 hrs.	38 hrs.	35 hrs.	0 hrs.	0 hrs.
Financial statement disclosures	283 hrs.	213 hrs.	213 hrs.	220 hrs.	213 hrs.	213 hrs.	213 hrs.	220 hrs.	213 hrs.	220 hrs.
Total				**379 hrs.**				**375 hrs.**		**340 hrs.**
Collection of Information: Form 10-K										
Governance, strategy, risk management	556 hrs.	311 hrs.	311 hrs.	338 hrs.	311 hrs.	311 hrs.	311 hrs.	338 hrs.	311 hrs.	338 hrs.
Scenario analysis	20 hrs.	10 hrs.	10 hrs.	11 hrs.	10 hrs.	10 hrs.	10 hrs.	11 hrs.	10 hrs.	11 hrs.
Targets	17 hrs.	9 hrs.	9 hrs.	9 hrs.	9 hrs.	9 hrs.	9 hrs.	9 hrs.	9 hrs.	9 hrs.
Scope 1 and 2 emissions	0 hrs.	257 hrs.	114 hrs.	117 hrs.	0 hrs.	257 hrs.	114 hrs.	104 hrs.	0 hrs.	0 hrs.
Financial statement disclosures	850 hrs.	638 hrs.	638 hrs.	661 hrs.	638 hrs.	638 hrs.	638 hrs.	661 hrs.	638 hrs.	661 hrs.
Total				**1,138 hrs.**				**1,125 hrs.**		**1,021 hrs.**

Notes:
[1] 9-Year Average values for this column are calculated as follows: ((Year 1 value for All Registrants) + (Year 2 value for LAFs) + ((Years 3-9 value for LAFs) x 7)) / 9.
[2] 9-Year Average values for this column are calculated as follows: ((Year 1 value for All Registrants) + (Year 2 value for non-exempt AFs) + (Year 3 value for non-exempt AFs) + ((Years 4-9 value for non-exempt AFs) x 6)) / 9.
[3] 9-Year Average values for this column are calculated as follows: ((Year 1 value for All Registrants) + ((Years 2-9 value for SRCs, EGCs, and NAFs) x 8)) / 9.

PRA Table 4B. Estimated External Professional Cost Effects of the Final Rules Over the First Nine Years of Compliance

	All Registrants	LAFs			Non-Exempt AFs				SRCs, EGCs, and NAFs	
Disclosure Item	**Year 1**	**Year 2**	**Years 3-9**	**9-Year Average[1]**	**Year 2**	**Year 3**	**Years 4-9**	**9-Year Average[2]**	**Years 2-9**	**9-Year Average[3]**
Collection of Information: Forms S-1, F-1, S-4, F-4, S-11, 10, and 20-F										
Governance, strategy, risk management	$245,250	$137,250	$137,250	$149,250	$137,250	$137,250	$137,250	$149,250	$137,250	$149,250
Scenario analysis	$9,000	$4,500	$4,500	$5,000	$4,500	$4,500	$4,500	$5,000	$4,500	$5,000
Targets	$7,500	$3,750	$3,750	$4,167	$3,750	$3,750	$3,750	$4,167	$3,750	$4,167
Scope 1 and 2 emissions	$0	$113,250	$50,250	$51,667	$0	$113,250	$50,250	$46,083	$0	$0
Financial statement disclosures	$375,000	$281,250	$281,250	$291,667	$281,250	$281,250	$281,250	$291,667	$281,250	$291,667
Total				**$501,750**				**$496,167**		**$450,083**
Collection of Information: Form 10-K										
Governance, strategy, risk management	$81,750	$45,750	$45,750	$49,750	$45,750	$45,750	$45,750	$49,750	$45,750	$49,750
Scenario analysis	$3,000	$1,500	$1,500	$1,667	$1,500	$1,500	$1,500	$1,667	$1,500	$1,667
Targets	$2,500	$1,250	$1,250	$1,389	$1,250	$1,250	$1,250	$1,389	$1,250	$1,389
Scope 1 and 2 emissions	$0	$37,750	$16,750	$17,222	$0	$37,750	$16,750	$15,361	$0	$0
Financial statement disclosures	$125,000	$93,750	$93,750	$97,222	$93,750	$93,750	$93,750	$97,222	$93,750	$97,222
Total				**$167,250**				**$165,389**		**$150,028**

Notes:
[1] 9-Year Average values for this column are calculated as follows: ((Year 1 value for All Registrants) + (Year 2 value for LAFs) + ((Years 3-9 value for LAFs) x 7)) / 9.
[2] 9-Year Average values for this column are calculated as follows: ((Year 1 value for All Registrants) + (Year 2 value for non-exempt AFs) + (Year 3 value for non-exempt AFs) + ((Years 4-9 value for non-exempt AFs) x 6)) / 9.
[3] 9-Year Average values for this column are calculated as follows: ((Year 1 value for All Registrants) + ((Years 2-9 value for SRCs, EGCs, and NAFs) x 8)) / 9.